GOLD, TRUST, AND THE FRACTURING OF THE FINANCIAL ORDER

A Comprehensive Analysis of Sovereign Reserves, Geopolitics, and the Future of Custody

Global Reserves | Repatriation Trends | Geopolitical Risk | Custody Solutions

Global Reserves | Repatriation Trends | Geopolitical Risk | Custody Solutions

THE NEW GEOPOLITICAL CALCULUS OF RESERVE CUSTODY: WHEN JURISDICTION TRUMPS OWNERSHIP

A Strategic Shift from Operational Trust to Geopolitical Alignment

TRADITIONAL PARADIGM: LEGAL OWNERSHIP & TRUST

Pre-2022: Custody as Operational Choice

- Based on International Law & Contractual Obligations
- Focus on Liquidity & Market Access
- Western Financial Hubs as "Safe Havens"
- Assumed Immunity from Political Interference

THE FRACTURE POINT: POLITICAL IMMOBILIZATION

The Russian Freeze Precedent

- Legal Title Does Not Guarantee Access
- Custody Location Became Primary Risk Factor
- Alignment with Sanctioning Powers Essential
- Trust in Western Infrastructure Eroded

EMERGING REALITY: JURISDICTIONAL ALIGNMENT

Post-Freeze: Custody as Geopolitical Strategy

- Repatriation to Domestic Vaults
- Diversification into Neutral Jurisdictions (e.g., Dubai, Singapore)
- Increased Physical Gold Allocation
- Development of Alternative Clearing Systems

DOMESTIC VAULT | NEUTRAL HUB (ASIA) | ALTERNATIVE SYSTEM

CONCLUSION: THE TRUST PREMIUM REPRICED.

Sovereign Wealth Funds & Central Banks must now factor geopolitical alignment into every custody decision. Physical possession and non-Western infrastructure are no longer speculative, but essential risk management tools.

ACTION: De-Risking Sovereign Portfolios through Strategic Repatriation and Diversification.

GLOBAL GOLD STOCKS & DISTRIBUTION: A FINITE ASSET.

Total mined gold (216,265 t) would fill a ~22.3 m cube worth ~US$29 trn, revealing both scarcity and dispersion.

THE 22.3 METER CUBE.

ALL MINED GOLD IN HISTORY:
216,265 t
(End-2024)

Approx. Value:
~US$29 Trillion
(at ~$2,600/oz)

Approx. Value: **~US$29 Trillion**
(at ~$2,600/oz)

CURRENT DISTRIBUTION (ABOVE-GROUND STOCKS)

JEWELLERY: **45%** (97,149 t)	ETFs & BARS: **22%** (48,634 t)	CENTRAL BANKS: **17%** (37,755 t)	INDUSTRY: **15%** (32,727 t)

ECONOMICALLY IRRETRIEVABLE

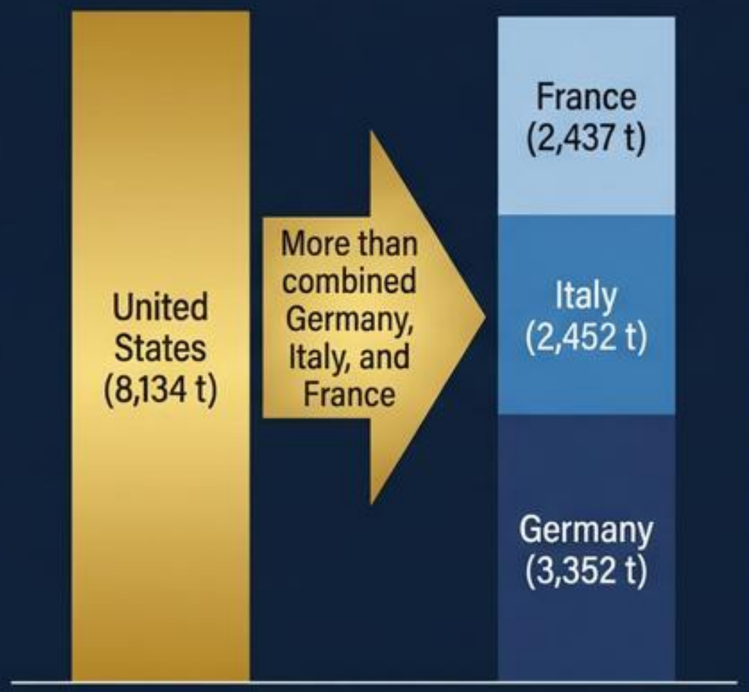
LOST GOLD: **~20,000 t**
(Physically extant in shipwrecks, landfills, etc.)

Sources: World Gold Council, Visual Capitalist, WorldAtlas, Americanstandardgold

Global Sovereign Gold Holdings: Reported vs. Estimated Reserves & Opacity Issues

Significant Discrepancies and Lack of Transparency Complicate Global Financial Stability

U.S. Dominance & European Holdings



The U.S. alone holds **8,134 tonnes**, exceeding the combined reserves of the next three largest holders.
(Source: WorldAtlas, Visual Capitalist)

China's Understated Reserves

While China reports 2,280 tonnes, analysts estimate actual holdings between 4,000–5,000 tonnes based on sustained UK export flows.
(Source: Goldscape, Thegoldobserver)

Global Data Divergence & Opacity

IMF and World Gold Council figures diverge by approximately 1,400 tonnes, hinting at significant undeclared purchases by nations like China and Russia.
(Source: WorldAtlas, Visual Capitalist)

Such opacity complicates any coordinated global response to a potential financial confidence crisis.

THE UNAUDITED DEPTHS OF FORT KNOX: A CHRONOLOGY OF PROCEDURAL OPACITY

From physical re-verification to seal inspection: A breakdown of the audit trail and missing records

1953: THE LAST COMPREHENSIVE AUDIT

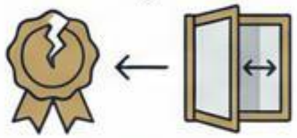
Compartments Opened:	3 of 22 (13.6%)
Bars Counted:	88,000 of 1.3 Million
Bars Weighed:	9,000
Bars Assayed:	26 (0.00002% of Total)

CRITICAL FINDING:
Modern verification standards have not been applied since 1953.

CURRENT PROTOCOL & MISSING RECORDS (1975-PRESENT)

Inspection of seals on vault compartments, not physical re-verification of gold bars.

7 AUDIT REPORTS (1975-1984) **UNLOCATABLE DESPITE FOIA REQUESTS.**



COMPARTMENTS "PERMANENTLY SEALED" REPEATEDLY REOPENED (e.g., 1983-2008) **ERODING CREDIBILITY.**

PROCEDURAL CREDIBILITY EROSION & INSTITUTIONAL DUE DILIGENCE FAILURES

- Pattern of opacity failing basic institutional standards.
- 1974 Press Event: Publicity exercise, not an audit.
- Committee for Continuing Audit (1975): Annual verification targets not met.
- Anomalies in Joint Seal records contradict verification premise.
- Cost of Manual Audit Estimated at $15-60 Million (never passed).

UNRESOLVED LEGISLATIVE ACTION:
2025 Gold Reserve Transparency Act (HR 3795) remains pending.

GOLD REPATRIATION: GERMANY'S CASE STUDY IN TRUST & VERIFICATION

From the 2013 request to the unaudited reality of 2024

THE 2013 REQUEST & INITIAL DELIVERY

674 T REQUESTED (NY & PARIS)

INITIAL DELIVERY: 5 T ONLY (LOGISTICAL DIFFICULTIES)

7-YEAR SCHEDULE NEGOTIATED

THE REHYPOTHECATION QUESTION

FRESHLY CAST BARS ARRIVED, NOT ORIGINAL DEPOSITS

SPECULATION: POTENTIAL REHYPOTHECATION OF ORIGINAL RESERVES

CURRENT STATUS (2024): A DIVIDED RESERVE

FRANKFURT: REPATRIATED

FOUR YEARS LATER, **50.6%** DOMESTICALLY HELD

NEW YORK: REMAINING

1,236 T REMAIN IN NEW YORK

STILL UNAUDITED BY GERMAN AUTHORITIES

TAXPAYERS ASSOCIATION OF EUROPE URGING FULL REPATRIATION

SOVEREIGN PRECEDENT: VENEZUELA'S GOLD & THE WEAPONIZATION OF CUSTODY

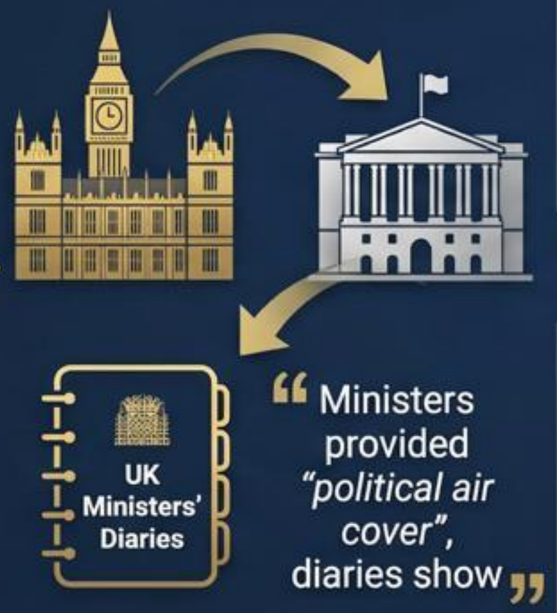
Analyzing the 2018 Bank of England refusal as a critical inflection point in global reserve asset management

THE REQUEST (2018)

Venezuela requests repatriation of **14 tonnes** of sovereign gold held at the Bank of England

Traditional Custody Expectation

POLITICAL "AIR COVER" (2019)



"Ministers provided *"political air cover"*, diaries show"

Custody Converts to Leverage

FROZEN ASSETS & LEGAL BATTLE (PRESENT)

Roughly **US$2 bn** Venezuelan Metal Frozen

Pending Ongoing Legal Proceedings

The New Reality of Sovereign Risk

ESTABLISHED PRECEDENT

Policy Alignment → **Access**

Non-Alignment → **Blocked/ Frozen**

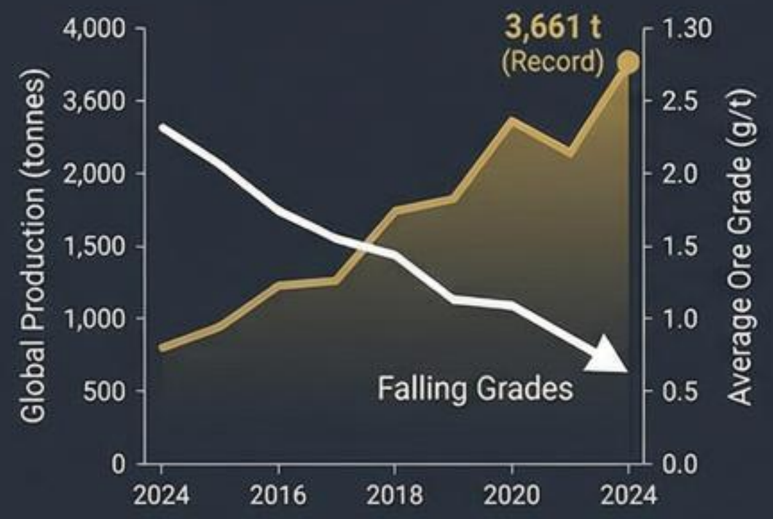
CRITICAL PRECEDENT: Sovereign property held in foreign custody is conditional on **political policy alignment**.

Source: BullionStar, Declassified UK, Central Banking

Global Gold Production & Profitability Dynamics (2024)

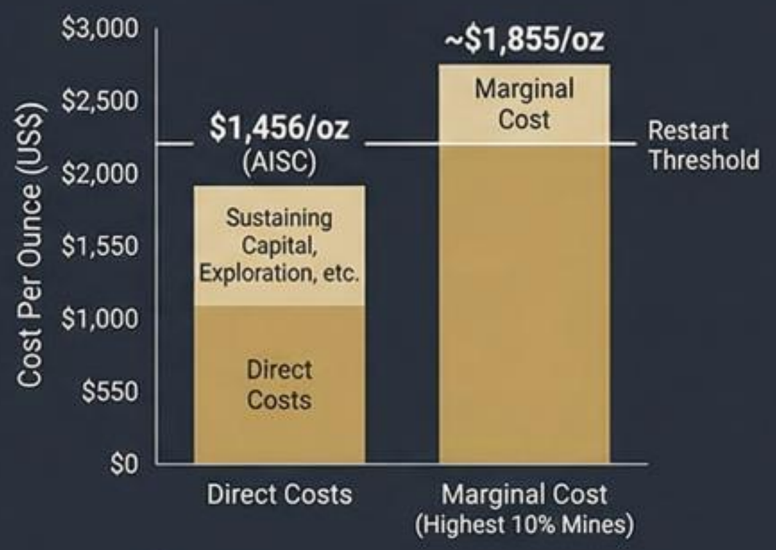
Record output meets rising costs and price sensitivity, shaping the long-term supply landscape.

Record Production vs. Declining Grades



Record 3,661 t mined in 2024, yet ore grades keep falling.

The Economics of Extraction (AISC & Marginal Cost)



All-in sustaining cost averages US$1,456/oz; the 10% highest-cost mines need ~US$1,855/oz to restart.

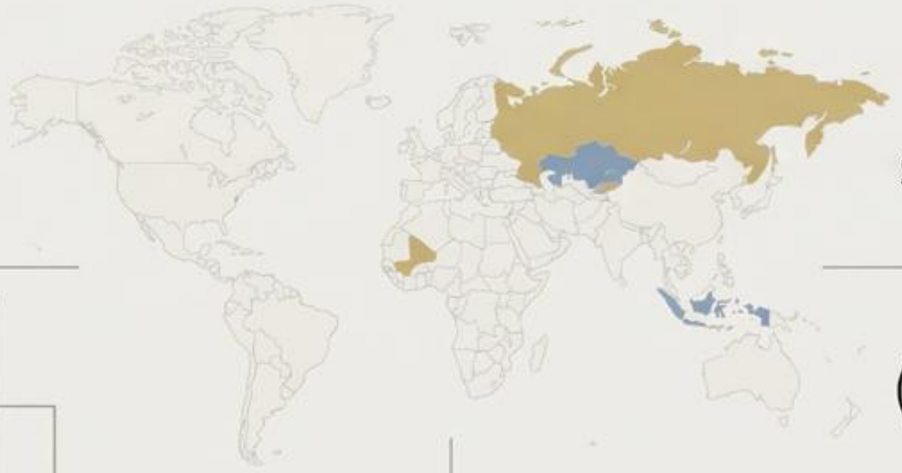
Price Sensitivity & Long-Term Supply

Price Scenario: Current (>US$2,600/oz)	Price Scenario: Low Drop (to US$1,100/oz)
97% ↑	50% ↓
Output Profitable	Global Production Idling

A drop to US$1,100 would idle half of global production, tightening long-term supply.

Conclusion: High gold prices are essential to sustain current production levels and incentivize future exploration in a cost-intensive, lower-grade environment.

GEOPOLITICAL & OPERATIONAL RISKS IN GOLD SUPPLY



PRODUCING JURISDICTIONS AS STRATEGIC ASSETS

MALI: TAX DISPUTES
$500M alleged unpaid taxes, leading to executive detainment and temporary operation suspensions.

KYRGYZSTAN: EXPROPRIATION
Full nationalization of Kumtor mine in 2022, citing environmental concerns.

RUSSIA: SANCTIONS
Western sanctions limit market access and restrict technology imports for operations.

INDONESIA: FORCED OWNERSHIP TRANSFER
Grasberg mine majority stake transferred to government in 2018.

TREND: Increasing treatment of mines as fiscal or strategic assets

SUPPLY CHAIN INELASTICITY & PERMITTING DELAYS

NEW PROJECTS FACE 7–15 YEAR PERMITTING TIMELINES

EXPLORATION & DISCOVERY → FEASIBILITY STUDIES & ENVIRONMENTAL ASSESSMENT → PERMITTING & COMMUNITY ENGAGEMENT → CONSTRUCTION & DEVELOPMENT → COMMERCIAL PRODUCTION

CONSEQUENCE: Supply cannot quickly respond to price spikes or political incentives

The combination of geopolitical uncertainty and extended development timelines creates significant supply inelasticity and risk.

EUROCLEAR: THE €40.7 TRILLION CUSTODIAN AT THE HEART OF GEOPOLITICAL RISK.

GLOBAL CUSTODY SCALE & REACH

€40.7 TRILLION

TOTAL ASSETS UNDER CUSTODY (AUC)

103 Central Banks

Eurobonds, Equities, Funds

Critical Financial Market Infrastructure

THE RUSSIAN ASSET FREEZE IMPACT

€193 BILLION

IMMOBILISED RUSSIAN CENTRAL BANK RESERVES

€6 BILLION

ANNUAL INTEREST GENERATED (Q3 2024)

EU Law permits indefinite freezing (Dec 2025).

Moscow Arbitration Court: Russian Central Bank sues Euroclear

GLOBAL CLIENT ANXIETY & TRUST EROSION

CEO VALÉRIE URBAIN: Weekly calls from anxious Asian and Middle-Eastern clients. “Trust is an area of concern”.

Risk of retaliatory legal actions and asset repatriation trends.

LEGAL & FINANCIAL IMPLICATIONS OF RESERVE ASSET IMMOBILIZATION: THE EUROCLEAR DILEMMA

UN Conventions, Executive Sanctions, and the Contested Terrain of Central Bank Asset Seizure.

LEGAL FRAMEWORK & THE "GREY ZONE"

UN State Immunity Conventions generally protect Central Bank assets from **COURT JUDGMENTS.**

EXECUTIVE SANCTIONS

Occupy a **"Grey Zone"** – Protection from Executive Action is not explicitly guaranteed, leading to legal ambiguity.

(European Parliament; Harvard International Law Journal)

IMMOBILIZATION VS. CONFISCATION: A CRITICAL DISTINCTION

IMMOBILIZATION (Temporary Freeze)

REVERSIBLE ACTION

Assets remain belonging to the Sovereign, but **access is restricted**; reversible upon policy change.

CONFISCATION (Permanent Seizure)

PERMANENT SEIZURE

Ownership is transferred, typically for reparations or reconstruction; irreversible under current law.

(Springer; Washington Times)

EUROCLEAR'S SYSTEMIC RISK WARNING

Euroclear warns **CONFISCATION** equals **EXPROPRIATION.**

SYSTEMIC RISK: POTENTIAL BANKRUPTCY

Seizure could **destroy CONTRACTUAL CERTAINTY**, potentially leading to Euroclear's bankruptcy and undermining global financial stability.

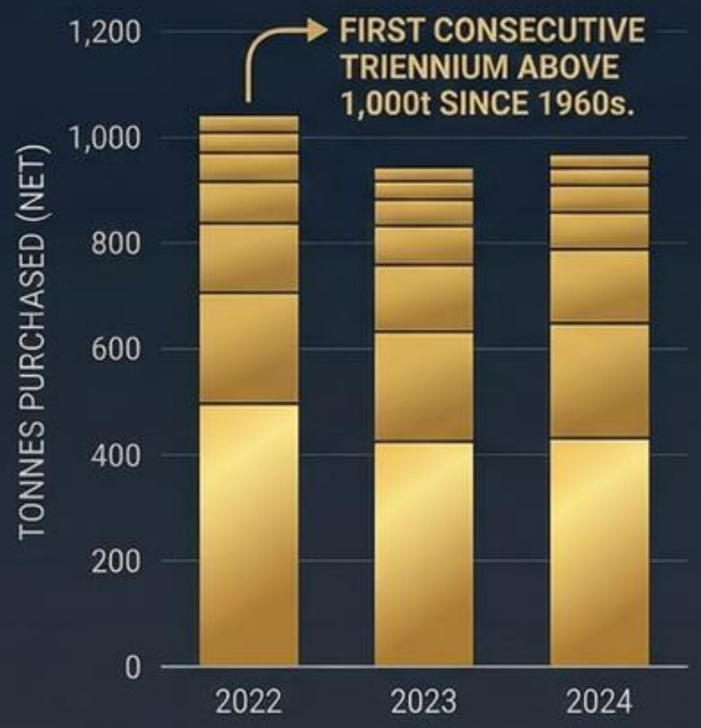
(Carnegie Endowment; RT International; cepr)

CONCLUSION: THE TRUST PREMIUM HAS REPRICED. THE PRACTICAL IMPACT IS UNAMBIGUOUS. CUSTODY LOCATION IS NOW A FRONT-LINE GEOPOLITICAL CONCERN.

Data Points: €193 billion Russian assets frozen at Euroclear; 103 Central Banks utilize Euroclear for custody; Euroclear processes €1,162 trillion transactions annually (Euroclear; CEPR; Yahoo Finance).

CENTRAL BANK GOLD DEMAND: STRUCTURAL SHIFT (2022-2024 & BEYOND)

CONSECUTIVE TRIENNIUM OF RECORD PURCHASES (>1,000 t)



2022: **1,082t**, 2023: **1,037t**, 2024: **1,044t**. Structural demand surge.

LEADING ACCUMULATORS & GLOBAL HOLDINGS IMPACT

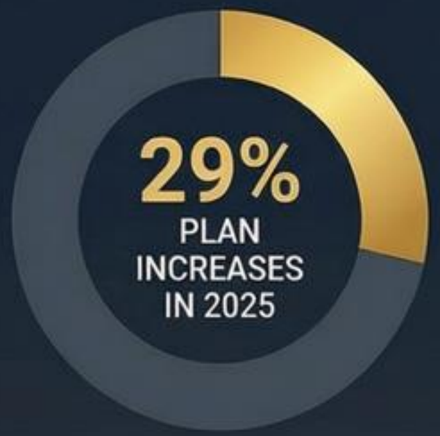
NON-WESTERN OFFICIAL HOLDINGS NOW

~45%

OF GLOBAL RESERVES.

Shift in reserve composition away from Western custody.

FORWARD GUIDANCE & STRUCTURAL SIGNALS



World Gold Council 2024 Survey: Highest percentage planning increases since 2018.

SIGNALING STRUCTURAL—NOT CYCLICAL—DEMAND.
Long-term strategic repositioning of reserves.

Russia's Gold Strategy: The Dual Role of Accumulation & Liquidation Under Sanctions

Geopolitical pressure forces a simultaneous shift in reserve composition and asset mobilization.

ACCUMULATION: RECORD GOLD SHARE

Russia's Gold as % of Reserves (2024, Record High)

Driven by sanctions and de-dollarization, gold share reaches historical high.

GEOPOLITICAL PRESSURE & OVERRIDING NORMS

LIQUIDATION: BUDGET DEFICIT PRESSURE

National Wealth Fund Gold Holdings (tonnes)

National Wealth Fund Gold Holdings (tonnes)

Forced sales to cover budget deficits and war costs

Conclusion: The dual role illustrates how geopolitical pressure can override traditional reserve-management norms, transforming gold into both a strategic shield and a mobilized asset.

INDIA'S STRATEGIC GOLD REPATRIATION: MITIGATING GEOPOLITICAL RISK

A CASE STUDY IN SOVEREIGN ASSET MOBILITY AND CUSTODY DIVERSIFICATION

TIMELINE & SCALE OF MOVEMENT

LONDON VAULTS

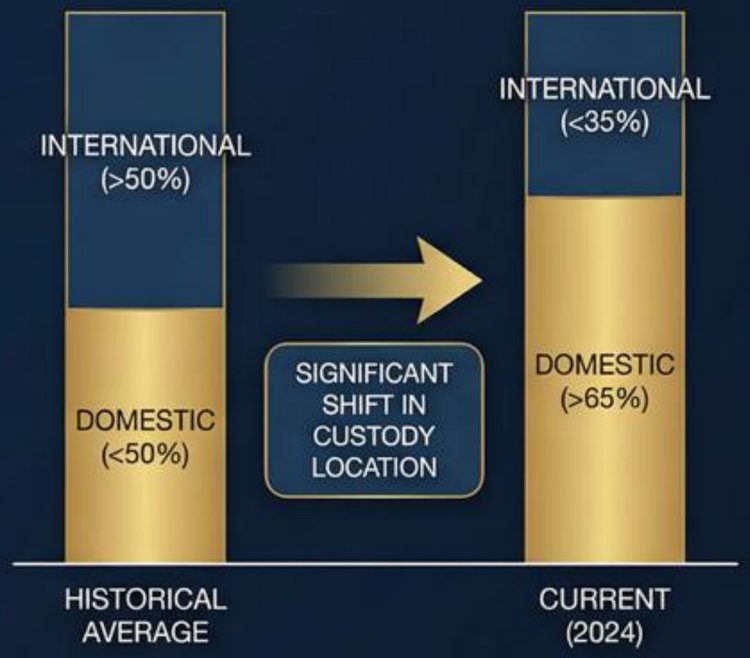
274+ TONNES SHIFTED SINCE LATE 2022

MAY 2024 SPECIAL OPERATION: **100 TONNES** MOVED VIA COVERT FLIGHT

DOMESTIC RESERVES

ACCELERATED FLOWS POST-RUSSIAN ASSET FREEZE

IMPACT ON RESERVE COMPOSITION



EXPLICIT RATIONALE: ASSET-FREEZE RISK MITIGATION

STRATEGIC EXECUTION & IMPLICATIONS

COVERT & RAPID DEPLOYMENT: DEMONSTRATES OPERATIONAL CAPACITY FOR LARGE-SCALE TRANSFER

SOVEREIGNTY PRIORITIZED: REDUCING RELIANCE ON WESTERN FINANCIAL INFRASTRUCTURE

PRECEDENT FOR EMERGING MARKETS: SIGNALS A BROADER TREND TOWARDS NEUTRAL JURISDICTIONS

THE SHIFT ILLUSTRATES THAT SUBSTANTIAL REPATRIATION CAN BE EXECUTED DISCREETLY WHEN NATIONAL INTEREST DEMANDS IT.

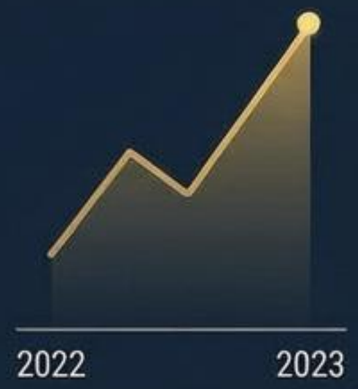
UAE: The New Global Gold Hub (2023-2025)

GLOBAL TRADE VALUE & GROWTH

US$129 BN
2023 Total Trade Value

Up 36% YoY
(Year-over-Year Growth)

Second-largest gold hub globally, surpassing the UK.



BRICS-LINKED "ASIAN CENTURY"

DMCC Forecast:
A New Gold Economic Corridor.

- Leveraging BRICS+ membership for strategic trade.
- Facilitating flows between East and West.

DUBAI GOLD & COMMODITIES EXCHANGE (DGCX)

Spot-Contract Turnover

ZERO
Import Duties

Strategic Location

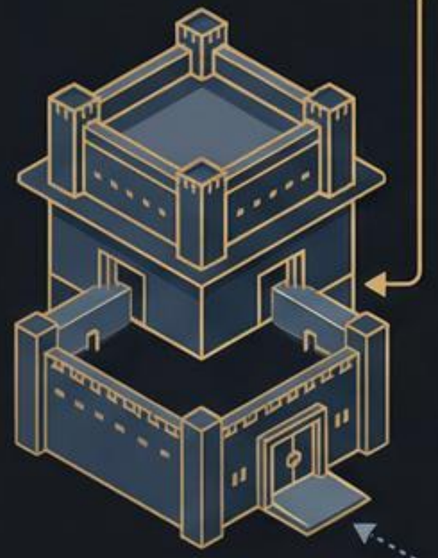
Underpinning market growth and accessibility.

THE RESERVE: SINGAPORE'S NEW CUSTODY STANDARD

Capacity, Growth, and Strategic Advantages of the World's Largest Private Vault Near Changi

CAPACITY & SCALE

The Reserve



GOLD CAPACITY: 500 t

SILVER CAPACITY: 10,000 t

BILLED AS THE WORLD'S LARGEST PRIVATE VAULT

GROWTH & DEMAND (EARLY-2025)

ORDER INCREASE: +88%

KEY DRIVERS

STRATEGIC ADVANTAGES

GST EXEMPTION
NO GST on Investment-Grade Bullion

NO DOMESTIC REPORTING
No Domestic Vault Holding Reporting Requirements

ZERO WESTERN CONNECTIVITY
Zero Connectivity to Western Clearing Systems

Positioning Singapore as a neutral, secure hub for global asset preservation.

SHANGHAI GOLD EXCHANGE:
HONG KONG OFFSHORE VAULT & THE NEW CUSTODY PARADIGM

Beijing's Strategic Initiative to Court Central Banks and Test Political Trust in Alternative Spheres

OFFSHORE VAULT INITIATIVE (2025)

- First offshore facility for SGE, located in Hong Kong.
- Operated by Bank of China, leveraging existing infrastructure.
- Direct access to Chinese gold market infrastructure for international participants.
- Positions Hong Kong as a premier non-Western hub for gold trading and storage.

GEO-POLITICAL STRATEGY & CUSTODY TRUST

- Testing the limits of political trust in alternative influence spheres.
- Challenge to traditional Western custody centers (London, New York).
- Offering a "neutral" jurisdiction aligned with Beijing's influence.
- Key question: Will central banks shift significant reserves to Chinese soil?

CENTRAL BANK RESERVES → GEOPOLITICAL RISK ASSESSMENT → DIVERSIFICATION STRATEGY → SHANGHAI GOLD EXCHANGE OFFSHORE VAULT (HONG KONG) → INCREASED TRUST IN CHINESE CUSTODY? ?

Source: (Discovery Alert), (J.Rotbart & Co)

NORWAY'S GPFG: SOVEREIGN DE-RISKING & GEOPOLITICAL STRESS TESTING

Strategic Repositioning of a US$1.8 Trillion Portfolio in a Fractured Financial Order

PORTFOLIO REALLOCATION

U.S. Equity Exposure Reduced by 15%

Key Driver: Mitigating Geopolitical Concentration Risk

EMBEDDED GEOPOLITICAL RISK MODELS

- Scenario Analysis
- Sanctions Impact
- Political Alignment

→ Strategic Asset Allocation Adjustment

- Explicit Models for Emerging Global Tensions

OFFICIAL 2025 GUIDANCE

Sanctions & Political Risk Impair Responsible-Investment Mandates

> *"Geopolitical developments may also weaken the scope of responsible investment activities."*

FIDUCIARY DUTY REDEFINED

Scenario-Based Hedging is now a Fundamental Obligation

STRATEGIC IMPLICATIONS

Western Alignment ↔ Neutral Jurisdictions

Emerging Markets ↔ Alternative Assets

Dynamic Hedging & Diversification

Dynamic Hedging & Diversification

Stress Testing Scenarios → Custody Diversification / Physical Allocation Increase

- Focus on Non-Western Clearing Infrastructure & Direct Relationships

GPFG AUM: >US$1.8 Trillion

GULF SOVEREIGN WEALTH FUNDS: THE NEW POWER BROKERS OF GLOBAL CAPITAL

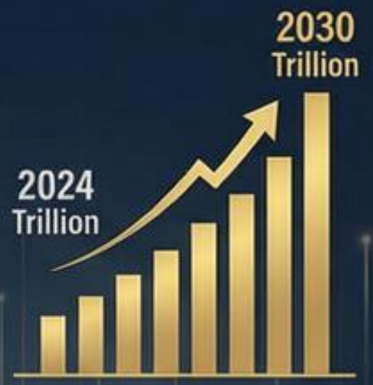
A Comprehensive Analysis of Growing Assets, Strategic Shifts, and Geopolitical Realignment.

KEY METRICS & GROWTH TRAJECTORY

CURRENT AUM (H1-2024)

US$ 4 TRILLION

Estimated Total Assets Under Management.



PROJECTED AUM (2030)

US$ 8 TRILLION

Forecasted Growth with Accelerated Capital Deployment.

STRATEGIC SHIFTS & GLOBAL FLOWS

GLOBAL SWF DEALS (H1-2024)

54%

Percentage of Global SWF Deployment from Middle Eastern Funds.

PARTNERSHIP REORIENTATION

- INCREASING CO-INVESTMENT WITH ASIAN COUNTERPARTS
- DECLINING RELIANCE ON WESTERN PARTNERS

DEPLOYMENT & RISK STRATEGY

- INTERNALIZING CUSTODY & TECHNOLOGY RISK
- RISING DOMESTIC & REGIONAL DEPLOYMENT
- FOCUS ON DIRECT INVESTMENTS & STRATEGIC SECTORS

Source: IFSWF, CEPR, Global SWF Data H1-2024.

DE-RISKING AT SOVEREIGN SCALE

Location of assets has become a front-line geopolitical decision, not a back-office function.

GEOGRAPHIC DIVERSIFICATION

- Diversify custodians across multiple jurisdictions.
- Avoid concentration in Western financial hubs.
- Prioritize neutral or non-aligned locations.

PHYSICAL GOLD ALLOCATION

- Increase allocation to physical (not paper) gold.
- Repatriate holdings to domestic vaults.
- Store in secure, independent facilities.

NON-WESTERN INFRASTRUCTURE

- Establish direct clearing outside Western systems.
- Utilize alternative payment rails (e.g., mBridge).
- Leverage new regional economic corridors.

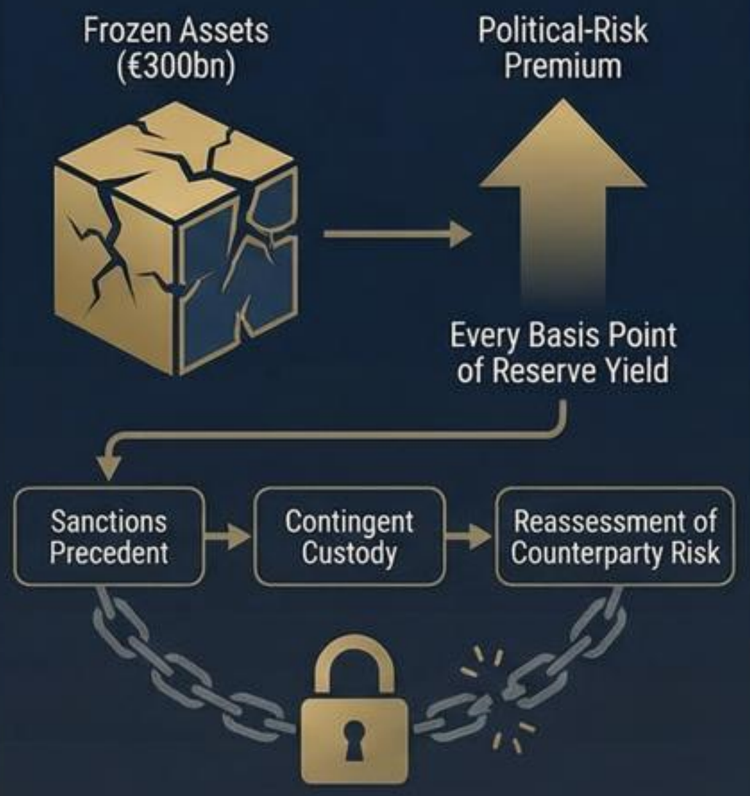
STRESS-TESTING UNAVAILABILITY

- Simulate unavailability of major counterparties.
- Model freeze of assets by foreign custodians.
- Develop contingency plans for market access.

Sovereign wealth funds are repositioning portfolios for a fractured financial order, prioritizing control and access over efficiency.

THE RUSSIAN FREEZE: PRICING THE TRUST PREMIUM IN GLOBAL RESERVES

POLITICAL-RISK PREMIUM INSERTED



CUSTODY LOCATION AS OPTION VALUE

BEHAVIOURAL PRICING VIA RELOCATION COSTS

MARKET BEHAVIOUR & UNSTANDARDISED PREMIUM

Central Bank Demand for Physical Gold (3,163t) → Repatriation to Domestic/ Neutral Vaults → Premium for Non-Aligned Custody & Logistics

Behavioural Pricing of Risk

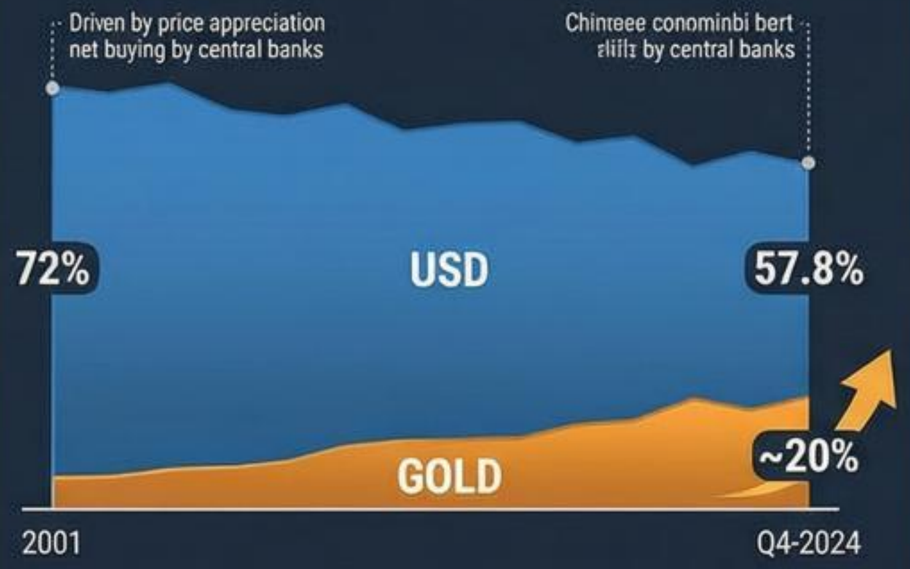
Geopolitical Risk | Reserve Asset Custody | Custody Solutions | Financial Order

Geopolitical Risk | Reserve Asset Custody | Custody Solutions | Financial Order

GLOBAL RESERVE CURRENCY LANDSCAPE: THE SHIFT FROM FIAT TO GOLD AS A HEDGE.

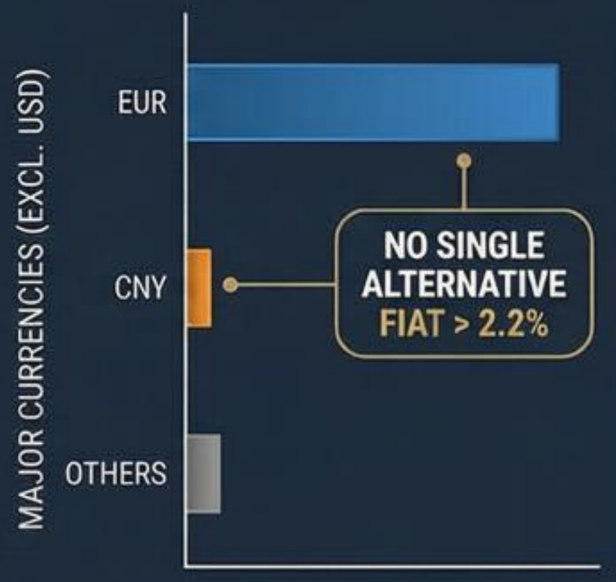
Analysis of reserve allocation trends (2001-2024) and the implications for sovereign asset management strategies.

USD RESERVE SHARE DECLINE (2001 vs. Q4-2024)



Driven by price appreciation and significant net buying by central banks.

LIMITED FIAT ALTERNATIVES



Euro holds ~19.8%; Chinese Renminbi only ~2.17% despite growth.

GOLD: THE ULTIMATE HEDGE

DIVERSIFICATION INTO GOLD IS LESS A VOTE FOR ANOTHER FIAT THAN A HEDGE AGAINST ALL FIAT

- Tangible asset with no counterparty risk.
- Historical store of value during geopolitical fracturing.
- Protects against fiat debasement and inflation.

CONCLUSION: The evolving financial order prioritizes the "trust premium" of physical gold over reliance on any single national currency or banking system.

THE STRATEGIC IMPERATIVE OF GOLD CUSTODY: LOCATION AS A GEOPOLITICAL ASSET

THE FINITE REALITY & DISCRETIONARY SHIFT

22-METER CUBE (All Gold Mined)

Approx. **216,265 Tonnes** | Value >$29 Trillion (at ~$2,600/oz)

CUSTODY IS DISCRETIONARY

Russian asset freeze (~€300bn) redefined 'safe custody'. Sovereignty now hinges on political alignment of the custodian.

The Trust Premium has Repriced: Counterparty risk is now a front-line geopolitical concern.

STRATEGIC REPOSITIONING: EARLY vs. LATE MOVER DYNAMICS

EARLY MOVERS (The Last 3 Years)

STRATEGIC ADVANTAGE GAP WIDENS

LATE MOVERS (Confronting Narrowing Options)

NARROWING VAULT SPACE

Premium capacity in neutral hubs tightening. Long-term leases prioritized.

RISING INSURANCE COSTS

Political risk premiums escalating. Coverage for cross-border transit becoming prohibitive.

LEGAL UNCERTAINTY

Jurisdictional immunity contested. Risk of future asset immobilization or "confiscation" remains.

THE NEW GEOPOLITICAL EQUATION

IN RESERVE MANAGEMENT, WHERE YOU KEEP YOUR GOLD HAS BECOME AS STRATEGIC AS HOW MUCH YOU OWN.

Conclusion: Sovereigns must adopt active, scenario-based custody strategies. Passive reliance on traditional centers is no longer a viable risk management approach.